The Bond Market Just Took Control

Podcast: Know your risk

AI Executive Summary

Core Thesis The global financial landscape is entering a period of heightened instability driven by "policy confusion" and the potential decoupling of monetary policy from central bank control. The speakers argue that the Federal Reserve may be inadvertently outsourcing inflation-fighting to the bond market, leading to dangerous spikes in long-term yields (duration risk). This domestic uncertainty is compounded by escalating geopolitical volatility in the Middle East—specifically threats to energy infrastructure in the Strait of' Hormuz—and a fundamental shift in tech valuations as massive AI-driven capital expenditures (CapEx) begin to strain the balance sheets of "hyperscalers."

Key Arguments & Data * Market Performance & Tech Headwinds: * Recent broad market declines: S&P 500 down 1.5%, Nasdaq down 2%, and Small Caps down 1.6%. * The "Magnificent 7" saw a 1.4% decline, with Meta experiencing a significant after-hours drop (approx. 10%) driven by investor concerns over high CapEx requirements. * Semiconductor and DRAM ETFs are hitting new lows, with Micron (MU) down approximately 43% from recent highs. * **Monetary Policy & The "Bond Market Takeover":** * The 30-year Treasury yield has reached levels not seen since 2007, signaling extreme stress in the long end of the curve. * A primary debate exists over whether the Fed is "outsourcing" tightening to the bond market. While this avoids immediate rate hikes at the front end, it creates "duration risk," potentially destabilizing real estate and broader economic activity. * There is speculation regarding a potential 50-basis-point hike in September if the Fed needs to aggressively restore credibility and combat "fiscal dominance." * **Geopolitical Energy Risks:** * Escalating conflict involving the Houthis, Iran, and PMF (Iraq) in the Red Sea/Strait of Hormuz is threatening global energy corridors. * The use of low-cost drones and missiles by non-state actors is effectively neutralizing expensive missile defense systems, making energy infrastructure vulnerable. * Speculation suggests that if these disruptions persist, oil prices could target the $120–$130 range. * **Economic Sentiment:** * The speakers suggest the U.S. is exhibiting "emerging market" characteristics, specifically regarding currency and bond market volatility. * There is a growing concern that the

current administration's economic policy is "ad hoc" and lacking a cohesive long-term strategy, leading to a "whack-a-mole" approach to inflation and energy.

Actionable Takeaways * Monitor Long-End Yields: Investors should closely track the 30-year Treasury yield; significant spikes indicate the market is repricing risk and may lead to broader liquidity contractions and volatility in real estate. * **Hedge Against Energy Volatility:** Given the rising threat to the Strait of Hormuz, consider using oil as a proxy for long volatility or increasing exposure to energy sectors to hedge against potential $120+ oil scenarios. * **Evaluate Tech Valuation Models:** When analyzing large-cap tech (Meta, Microsoft, Alphabet), shift focus from revenue growth to CapEx efficiency and the ability to generate returns on massive AI investments. * **Consider Gold as a Strategic Hedge:** In an environment of potential Fed credibility loss and extreme fiscal deficits, gold remains a viable hedge against both "policy confusion" and systemic currency instability.

Full Transcript

I feel like he's saying who cares because the market's hiking for us. And then you could just feel the market realizing it at the same time and being like, oh, well, if you're going to give monetary policy to the bond market, we'll take it, but you're not going to like it. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the daily dots and I have joined as always by the brain trust himself and you know, I think I was thinking to myself Earlier this morning is about a month and a half ago. You and I were talking and the We're saying how we expect in the summer to be you know, kind of calm a little laid back, you know, usually not a lot happens That's that's about as bad as a weather forecast in the state of Washington Yeah, we have a 10% pullback now in the Qs. We had one two years ago in July. So summers are becoming the new winner around here. Yeah. Pretty wild, man. So, okay. Obviously a ton to get to on all fronts. But let's just start with the rundown because we'll forget to do it if we get into the conversation. Yep. S&P closed down one and a half. The Qs down two. Small caps down 1.6.

All World XUS down 1.1, you had the dollar down almost half a percent. As far as Mag7 went, you were down 1.4. Now, that has actually gotten worse because you have meta down 6% after hours, what's worse earlier. Are you going to announce today? Yeah, and more CapEx, so Mark didn't love that naturally. And it wasn't really much CapEx, but. But still that's

enough to make, you know, it just shows you where you're at in the market. But the two year was down two basis points, which sounds nice. But the 10 was down nine, which actually sounds bad. But the 30 year was up 13 basis points. You're now at the highest level you've been since the year 2007 on the 30 year yield. We'll talk about why as we get into the Fed oil up almost 7%.

And notable notable to me the December contract up Over five and even if you go out to March of next year that contracts up over four That is not the way this has worked for really the entire war. So the fact that these out month out year Contracts are up almost as much as front month is something that maybe it's a one-day thing But if it's not that is super notable that tells me a lot about the market, but um Gold silver basically flat, GDX down a little bit. That's more market beta than anything on a day like today. Front month of all was up almost 7%. You're at 20 spot 3-1 now on VIX. The DRAM ETF, the memory ETF down another 6%. A new low there and it's down in after hours. And then the semiconductor ETF down 4.9 and down a little bit in after hours. So new lows for that stuff.

And as I mentioned, the queue is now down. Let's see, you are basically, oh, you're almost 12% drawdown now on the queues, actually. And a lot of that is coming pretty quickly. Yeah, it was, and we were not short anything today, right? Just a little ball. Little ball, kind of bizarre to have a nice update on a tape like that. Thank you, Oil. Yeah. Thank you. And software and software to be fair. Once again, software. And like you said, I'm getting a little uncomfortable with how those are performing. I mean, I understand it, right? Highly value, you know, immense value in those, especially the ones we picked up. But and they're the opposite of chips for now. So yeah. Okay. So I would think, you know, first order of business is discussing the Fed meeting as per usual.

I was on a conference call during the meeting, so I've just read some quick summations of it and all that kind of stuff. And the one comment I would have, and you and I haven't got a chance to debrief on it, I've just seen a couple texts fly around. Reading a little bit of the summary, and I'm judging by the text I saw that your read on it wasn't much different, but just from the summaries I read, I sat there and thought, What did he say? None of this

doesn't make any sense to me. So I feel like a part of the audience right now, break down what he said for us, would you? So let me set the stage some. So this guy, Kevin Warsh was a hawks hawk back in the back in the GFC. For a crazy reason, I read every single GFC era Minutes that came out not minutes I shouldn't say transcript that came out and he does not feature well in them at all because he was hawkish while things were melting down He was more worried about inflation than he was growth while while the economy was was falling apart So I because of that a lot of people thought like no this guy's a legit hawk as he as he got picked for the job and you know a lot of But at the same time a lot of people's reads like yeah, but Trump wouldn't have hired him if he was right because Trump wants low rates But he came down. He was a big fan of Morgan Powell, probably, right? There you go. Liquid hate capital, liquid labor, that kind of route. But if you go back to his first meeting in June, he just came out guns blazing, verbally hawkish. Now, they didn't do anything policy-wise, but it's his first meeting. I don't know why anyone would have expected anything to happen there.

But now you're at his second meeting, there's a one-third chance they do a hike in the market and no hike, which is fine. I don't think the market cares about that. It's like whatever you'll do it in September. But the issue became, first of all, he didn't really say anything. He didn't answer any questions directly, went really far out of his way to not answer questions. But in the little bit that he did say, after a very hawkish preamble again to set the stage for like, we will not tolerate, you know, the inflation being as high. And it's like, okay, well, now it's, now it's your second meeting, you're saying, well, we, you know, I'm so hawkish, we're not going to tolerate inflation, but you're not doing anything about it. The only thing he would go out his way to say was, well, look at the market, you know, kind of make it sound like the market is doing the tightening for us. He didn't say that word for word, but he said that without saying it.

And I think the 30 year, the 10 year, they heard, like, oh, you want, you want us to hike for you? Then we can do that. And then from, from the point that that, that, that point from him stuck, it was just takeoff and, and yields, especially on the 30 year as mentioned. But now some people think this is smart. Like, Hey, if, if the market will just do it for you, you don't

have to do it. But in my opinion, the last thing you want is duration, doing all the hiking for you instead of the front end, like, because duration is tied to. you know, the pricing of real estate and all these other important things. So to think that that's how you want to do this doesn't really make any sense. So it was fun for me. I was in there like, you know, in real time, like talking to research clients about it. And the whole time I'm like, I feel like he's saying who cares because the market's hiking for us. And then you could just feel the market realizing it at the same time and being like, Oh, well, if you're going to give monetary policy to the bond market, we'll take it. But you're not going to like it. So sure enough, long end rates are blown out. Stocks go from, on the decision of no-hike stocks rip, vol drops. But when he started opening his mouth and saying, we don't need to hike, the market's taking care of it, he gets a million questions about reaction function, what data they care about, this all this kind of stuff. He won't answer any of it. So I just think he got to the point where the market was like, Truly like this is becoming a credibility issue of like you're just talking hawkish You're not doing anything and now you're kind of saying like you don't have to because the market's doing it So that that's where we ended up there The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security Any references to performance of securities are thought to be materially accurate and actual performance may differ so And that I I read a few of those several of what you said, I read in the summary. I'm still trying to get my head around 522 on the 30. That's, oh, I mean, it's been a long time, right? I mean, as guys that started, well, you know, 20 years, basically, yeah. Yeah, as guys that we've met, I mean, we haven't seen it. I have not been in the business when the 30 years printed the eye. Like, yeah, I was a two striper in the Air Force. Like, I didn't even know what markets were.

But you're about ready to get a wake-up call with 0809 though, right? Yeah, that's why I'm here, because that happened and I was like, hold on, how does that work? And I just never stopped learning. Yeah, yeah. OK, so I think the thing that is the most confusing to me is he selected historically an inflation awk. Meaning Trump selected worse. Traditionally, an inflation awk has been his whole career. And yet everybody knows that Trump desperately wants to cut rates. Love the market going up. Of course,

always. He's worried about real estate. Yeah. And Warsh kind of... So if you were forced to characterize it, because from the summaries I read, I couldn't make anything of it. I couldn't figure out what he was saying was hawkish or dovish. Do you have an...

So he's done the same thing now where he comes out in that first like two minutes forcefully dovish or sorry hawkish Like he comes out flamethrowing like we are you better you better believe we are gonna get inflation down like like he comes out real hawkish But you know You're the Fed like you can trash talk all you want like you need to raise rates if you're gonna actually be hawkish in the eyes of the market Even if you think that's wrong in the eyes of the market like that's what you need to do But I will say, there are some people, and I'm arguing with one on Twitter today, that think, no, this is great. Let the bottom market tighten. You don't have to. It's better than messing with activity levels by raising the front end. Anna Wong from Bloomberg, she said, this is great. This is what he wants. He made it clear he was happy the long end was doing this. My response to that is, if we play emerging market games, we're going to win emerging market prizes.

You know if our inflation flight fighting credibility of the Fed gets eroded and that nukes duration That's not a policy tool like that's a policy failure and that that has massive consequences because there's so much faith From markets in the Fed not not just in the US but globally if you start if you start messing with it Like it's one thing for the market to be like either they'll they'll deal with some two and a half percent inflation and that's not that big a deal but When you start running three, four, five, and the Fed is like, well, let's just let the bond market take care of it. We'll just watch. I don't think you realize the risk in that. Yeah. The other thing I think is embedded is a knowledge like never before, or I don't know, maybe I'm playing the common knowledge game when I say this, but I think there's also an awareness that has never really been present before of CPI is not really CPI. You and I were singing that story years ago.

Not a lot of people are paying attention. You know, you can talk to an half 3% CPI. I think everybody sees that number and goes, you know, for those of us that pay bills, it ain't, it ain't to an half percent. So that's the other part.

The other part that I thought, I mean, I guess it sort of makes sense to me in an odd way, but I am surprised to see the 30 and the 10 move in sensitive version fashion. Was there anything that he said that, I mean, my interpretation of that would be higher inflation for longer rates are going higher, but at the same time, maybe we think this increases chances of recession. So by the 10 year and sell the 30, what do you chalk that price action up to? Yeah, I would say it's the, I think the policy rate just has a bigger impact on the 10 than it does the 30.

For sure. So I think it's that simple because it's like a three or four basis point difference. It's not that big a deal. That's kind of the only good news is the 10 wasn't as bad because that's more linked to real estate than the 30 obviously. But you know, the 10 rate on the 10 went down, right? Oh, no, no, no. No, the two went down. Got it. Because the two is kind of like, I don't know, are they going to, are they even going to hike? No, the 10 is up eight basis points. It's up at like four, six, nine. Okay, before I thought you said the 10. I mean, I've heard it. Okay. Yeah, I was just getting go, whoa. I thought you said, yeah. Okay. So that makes far more sense. Yeah, that makes far more sense. Yeah, higher rates, duration getting killed. I was like, what? Why would the 10 be rallying on that? No, the two did, but that makes sense because if they're not going to, if they're not going to hike in the two year, like it's just going to be standing there, you know, looking dumb if it stays high. Man, we're in an odd place economically.

Now, they may have to go 50 bips to kind of save their own skin in September. And that's two months before the midterms. This feels like a pretty big own goal to me. If they do that 50, then the 30 comes flying back down, in my opinion, because it's like, all right, they mean it. They'll fight inflation. You know, man, I got to be honest with you. It's tough right now to make heads of tails as much as it's coming out of this administration right now. whether it's on monetary policy, economic policy, policy, and Iran, I don't know that I've ever had more policy confusion in terms of what it is we're trying to do, what we're trying to...

I'll just be honest with you right now. I've been critical of, I was super critical of the Biden administration. I'm going to be critical of this one right now. To me, it feels like we are playing an extraordinarily uncoordinated

game of whack-a-mole and we're worrying about tomorrow as it comes. That's what it feels like to me because if there's a grand plan here, I'm having a hell of a hard time connecting the dots. Yeah, I think your point, it's one that I've felt for a long time and that is a, And it's not unique to this administration to be pretty myopic and to munch on some seed corn if it tastes yummy. But I do think this administration has taken that to a much higher level of whatever. If it works for the next year, who cares what happens after that kind of stuff. The problem is those years, they arrive.

Look, you can see a setup of it happening right now. I think an extension of that right now is what you see going on with crude and crack spreads. Exactly. Who cares about the price of oil as long as this thing's over next month, and then next month it's never over. Yeah, and then let's figure out a way to jawbone down the price oil because that's bad optics. Hold on. When you do that, you're opening the door to things that are worse. What are you going to do then? It just, it feels helter-skelter to me. And I will go back to what I'm saying is, guy that voted for Trump, I'm not just trying to take shots here. This feels to me like it's policy decisions trying to be made in the swarm of hornets, right? Like inside of just, we're just flailing. It's all ad hoc, yeah. Yeah. And it just, it's not making a whole lot of sense here.

So I am more confused about policy direction coming out of that meeting by far than I was coming in. I don't even know how to handicap what he said. I mean, what do we believe? No one does, yeah. And going into the meeting, especially looking at the market price, I was like, I thought 50-50 chance to hike today. And if they didn't, they're absolutely hiking in September. But now that that just happened, I'm like, I don't know. Maybe he won't hike. I shouldn't say he. They won't hike in September if they think the market's just doing it for them. But if the market doesn't form good and hard, they may realize like, oh, we're going to have to hike to get the market to chill out, which sounds crazy. We're so used to hiking being the thing that would make a market mad. We may have crossed this weird spot just like an emerging market.

where, no, no, no, you have to hike to get the market on your side, not cut to get the market on your side, hike to get the market on your side. Cause now inflation is the problem, right? Like the fiscal dominance is the

problem, like, is the emerging problem. So now it's like, no, like you got to establish credibility that you're not going to let inflation go nuts, you know, or the markets are going to turn on you. You know, that's a really interesting point that I hadn't really thought about up until right now, which is, I bet you, policy-wise, they probably thought that the announce of no raise was going to be market bullish. I bet you, internally, they thought that this will be good for the market. And it was until he opened his mouth. Right, right. And then you start explaining it like, yeah, or not explaining it, right? Man, I'm just sitting here trying to...

In my mind, I'm trying to sit here and figure out what in the world all of that meant. I'm starting to fall on the side of it meant that you're just in a bad spot and you don't really know what to do. I mean, that's the only way I know how to interpret it. I think they're at a point where they're going to have to hike. It sounds so weird as an American. Especially after this last 20 years where like it I really think they're out there got to hike to get their credibility back and to get the market to chill out It sounds so backwards, but and so emerging market, but that's what we're at I mean you have the 30-year sell-off like crazy and the dollar sell off like crazy like that's not supposed to happen in the US like that's so that's an emerging market phenomenon and that There's stocks stocks bonds currency all got wrecked that it isn't there's another thing about this that's concerning to me because I You know, we've talked to put it in the words of, oh man, I'm just spacing on his last name, Bill Fleckinstein. This all works until the bond market takes away the keys. And we always sat there and thought, look, with QE and all that kind of stuff, what's going to make them take away the keys? This could sort of be the start of that, meaning all of these games work, all these machinations work, until you push it too far.

And eventually, and this always happens in markets, the market calls your bluff. I'm not saying that's what happened. I'm not saying the Fed's out of ammo. I'm not saying any of that. But watching that reaction to no cut, this could be the start of that. And I don't think that you're off base saying that you may very well be in a situation that Either way markets might go down because I mean, let's be honest, right? These are markets that are priced to absolute perfection despite the fact that the outside environment does not reflect that it's not bad not saying that But it's this is not a perfect backdrop

by any stretch. The market action isn't perfect. The price, you know, just go down the list You know, we may look back on this and see this is the beginning of the market taking away the keys and and to be fair to the administration If that's the case, it'll probably get pinned on them But, you know, this has been a, this has been a storm 20, you know, I mean, you could even go back further, but this particular storm I think has been, you know, the storm that's 20 years in the making. Yeah. And, and, you know, I mean, I've been calling for yield curve control for a decade almost eight years. I've been saying like it's inevitable and it is. This just kind of makes it more inevitable. It's one thing to like recognize like, Hey, eventually we're going to have to buy a bunch of the debt because this is all not going to work. But it's another thing to like shove it in that direction with a policy error, which I feel like today was the start of that. And make no mistake, this is going to slow stuff down. You think about AI CapEx. AI CapEx just got a lot more expensive. Yes, there's a lot of front end financing, especially in those special purpose vehicles and stuff. But we've talked about on the show, the Oracle and Meta and Google and all these all these guys selling 30, 40 year bonds. Well, if the government 30 years at, you know, five, two, and now you got to pay a nasty spread on it because you're trying to sell too much of it, 30 year papers could cost you, you know, six, seven, eight percent to the point where there's no point even going out on the curve far anymore. That might start messing with activity levels. Obviously real estate is about to be I mean, just in a hole. And home builders, you know, God bless them, they're gonna have to do enormous rate buy downs to have any customers. So that whole sector is in big trouble. If they're gonna do that 50-year mortgage, they probably better roll that out tomorrow, although those rates aren't gonna be any fun anymore. Yeah, I think they're gonna have to hike. And I really think a 50 burger almost is like the answer for them to get the...

get this back on track. I don't know if they got the guts to do it though. Yeah. Well, I mean, you know, we've said this for a long time and I don't want to, you know, again, not skies falling, not permavera, but so many of the issues you look at. I understand the political implications. I get all that. But what you need is a recession. I mean, full stop, you know, full stop pop. Yeah. If you want, if you want those rates down, that's the only way you're getting it. Yeah, without institute and yield control and all that kind of stuff.

And this is what's bothered me so much about monetary policy for so long is that at some point, monetary policy quit becoming about managing the value of the currency. And it became managing the entire economy and making everything perfect and serene all the time. And, you know, I'm not trying to get on my anrand economic podium here and, you know, soapbox, but You know you can't sit there and you know pump your fist in the air and push free markets But only when you like what they're saying you know I mean like it's a double-edged sword it always has been and when you want to dole one side of it You're gonna dole the other and it's just it's just the way it works and You know I think you see a lot of that politically speaking around social, the push for socialism, all that kind of stuff, kind of a similar dynamic in the sense that, hey, that might alleviate some pain in the short term, but you're gonna exacerbate your problems in the long run in big time. And take the small pain now instead of the big pain later. And not surprising in our culture, we've become symptom treaters and just make it not hurt. That's the number one priority. And you're starting to box yourself into a corner where you're like, hey guys, Not only is it going to hurt, regardless of which direction we go, but the longer we wait to take that pain, the worse that pain is going to be. And the longer it takes to get to the other side of it. Right. Right. To get through it. Right. Okay. So flipping over now, unfortunately, this is not the only economic conundrum we are dealing with. What kind of watching, if you want to know, in my opinion, how ridiculous these markets are treating certain things.

just go look at the price action versus the news and oil over the last 48 hours. Talk about a joke. What are updates from the straight in that part of the world? What's happening right now? Yeah, I talked about this whatever yesterday, the day before, like how this whole like rally or excuse me, the fall in oil and everyone getting excited about the MOU again. How made no sense to me because I just couldn't imagine how that could actually play out in the straight. But sure enough, it didn't work and not only did You know the Iranians start pressing pushing back like they've kind of the ones that threw the first punch like we hadn't bombed them in like a few days They were like cool. We won't either Then we started trying to help some ships through they hit them turn them around Launch a missile or a few missiles whatever at our base in Jordan Which is kind of a first punch although they said no no no you trying to get ships through the straight that was the first

punch then the you know, we got We have the Houthis from Yemen attacking the Saudis. We have the PMF in Iraq attacking the Saudis. Then we, the US and Saudi did a joint bombing mission in Iraq of the PMF and their Iranian advisors. And then today, I mean, we even have US LNG vessels getting hit in Egypt, which is at the top of the Red Sea, where people weren't expecting a problem and didn't even think.

there was reach from proxies. I didn't never understood why people didn't think that was possible. So you're in a situation where this thing is expanding itself more regional. It's bringing in more players, more countries. Obviously, it's exposing more energy infrastructure. And now that the Houthis and the PMF are involved, and hey, they have a lot of missiles and drones too, and they can aim them at energy. And so far, The Houthis and the PMF have been way more ready to hit energy infrastructure than Iran has been. Iran, to a large degree, actually stayed relatively conservative with that. And the Houthis are like, we don't care, we're going for it. No, the Houthis get down, man. Like I told you, that analogy of Moana, right? The little pirate coconut folks. The little coconuts, yep. Yeah, they don't listen to... They're not interested to listen to pleasant talk and promises, man. They want some carnage. It looks to me... I can't... And President Trump said we're gonna hit him really hard tonight, so it's all back on. Yeah, that'll all work. Here's...

Look, obviously I could be wrong, but this kind of goes back to what you and I were saying five and a half months ago. Here's how this is most likely gonna end. With Iran getting most of what it wants and controlling the street, and I still don't see any way around that, it's becoming more apparent to me that it looks like the Trump administration and the MOU was a way to get them to the table, and then they thought they could negotiate them off of that. Where I just never understood that, meaning if you can't close the straight, you can't control it. It just is what it is. There's nothing you can do about it. Short of insane cost. And I will go back to saying from the very beginning, I will never understand. I don't want to get into the political realm of it because who knows, Israel's influence, whatever. I will never understand the cost benefit analysis that was done that came up and said, yes, we should take this shot of it.

I hate Iran, I get all the reasons why people like it, but like we've said from the very beginning, just because I like it, the new Lamborghini that came out doesn't mean I'm driving one home, right? You know what I mean? Well, you like Iran? That doesn't have anything to do with anything, right? The question is, can we accomplish what we want to accomplish? Which, look, I'm still kind of confused in even what that is. But can we do it at a cost that is acceptable to us? And I think the answer is clearly no. And it looks to me like I ran in the Houthis and those guys have realized, okay, we are now playing operation, get oil up big. That's what it looks like to me. It feels that way for sure. They've recognized the pain point. And so if I was handicapping this race, I'd look at him and say, he'll probably give you the straight at 120, 130 oil.

You know what I mean like I and I think they know that and And they're he's gonna have to they're more than willing to do what it takes to get there Yeah, and he can't go into the election with the straight clothes and oil at 130 or 150 by then God this is just this is one of you know who I think is handicapped this from the very beginning and I'm biased and I know I will take some people off when I say this and I don't care but To me, if you want to get the clearest analysis that has made the most sense to me, it's been the stuff that Joe Gates has been saying, or Joe Kent has been saying. And why I say I'm biased, I've met Joe Kent in person. He and I spoke at the same event. I don't know him personally, but we do have friends in common. I can tell you that he is a guy that is good and honest as the day is long.

I think he is the exact kind of people we want in those positions. And I think if you're given, if you want to know where we're at, based on the positions he held and the honorable way that he stepped down and the honorable ways conducted himself since leaving office, meaning not going after Trump, not trying to make the administration look bad. Just saying it's peace, yeah. Yeah. And encouraging the administration to make the best decisions. And I just think he's spot on. Yeah, I just I this is this is a mess and I just think You know It you know in a lot of ways. I think you said it best. I think the minute we pulled the trigger on this operation It meant I ran control the straight. I just I don't see how we get away from that I just don't see it. We live in a time and it won't be like this forever, but we live in a time where drone and missile offense is more effective and more affordable

than drone and missile defense. It's just That's the reality. And because of that, there's nothing you're going to do. And to go back to Ayn Rand, her quote of, you can ignore reality, but you can't ignore the consequences of reality. You can ignore that. You can focus on the fact that we have dropped a bunch of bombs and they don't have a Navy. But you can't ignore the consequences of they can still reach out and touch shipping if they want. They can reach out and touch our bases if they want. They can reach out and touch.

regional energy infrastructure if they want and there's nothing we can do about it. That's just really problematic. And from a bigger picture strategic standpoint, wasting our entire interceptor magazine depth on Iran instead of a way more strategic potential conflict is in itself like a national security threat, like a big one. So to taking this war on for nine months instead of the the three, four weeks we were told or whatever, you end up in the same place you were gonna be and it just costs more people, more money, more interceptors, more goodwill from a lot of people in the region and the world. You know, your average farmer in the world is like, I rate about this stuff, you know, because this is just smashing their bottom line, you know? Yeah, the other thing I keep thinking about, and again, I don't wanna get too far into politics because there's plenty of podcasts that discuss that.

But the other thing I keep going back to is I keep going back to, everywhere I look, I keep getting the feeling that there is something seriously wrong with our intelligence agencies. I'll put that part on that. Because they have warned throughout this, there's been leaks throughout this to make it clear that they think the risk reward on almost every single thing we're doing is bad. Okay, let me reframe the statement. I think that there are serious issues with the CIA. And I don't know exactly what those issues are, but there is example after example of the right intelligence not getting in the right hands. And furthermore, it's really easy to dunk on Trump and it's really easy to take shots on Trump. And look, I've been very critical of the administration. At the same time, I cannot believe Trump is not an irrational lack job.

He can make you feel like that at times, but he's not he's like we said before he's not the kind of guy that drives drives the train off the tracks He had to

have been fed back. I cannot imagine what kind of and here's the thing Well, it to me it to me it looks it looks like the bad information he got came from Israel not the CIA Well No, but the CIA's intelligence gathering apparatus and Israeli intelligence have a lot of overlap. I think there's two sides of that coin. I think there's plenty to suggest, including internal documents from the CIA that suggest that they work very closely with Israeli intelligence on a regular basis. On Iran, on the ground stuff, I think that's fair. Broader speaking, no, because we view their intelligence as a pretty significant counterintelligence threat to the US. No, I agree. Which is why it's really hard for me to believe that the administration would listen to Israeli intelligence and completely disavow our own.

I just, I don't, I don't see why that. That's the way it looks. No, I don't argue with you, but like I also, you know, I hate being in the position of going, okay, this doesn't make any sense. So I've got to take this extreme out. I've got to take this extreme explanation or this extreme explanation where you and I both know the reality lies somewhere in the middle and usually. and this just feels so, like, I'll be honest with you, man. The last five and a half months watching this unfold, I kept waiting and expecting us to be wrong, you know? Like we said, we were wrong on the price action for a while. We were still, you know, hasn't hit our high targets. So all, but in terms of this playing out, meaning we just sat there and went, when this thing starts, we think it's gonna go for a lot longer. You know, I think back to Cuppey saying he didn't think this thing would end. He thought we'd be there at the end of 2026.

I thought that was sort of extreme at the time. Now I'm looking at it going, yeah. I could easily see it. Only reason I can't see it is just because like I've said from the very beginning, I just think this is a game of waiting to see how long Trump holds out until he decides he's got to swallow the nasty pill. I just don't, I don't see another way out, right? If you had ordinances or you had battle plans or you had targets to hit that would open the straight, they'd already be done. We're speaking of the the the cent com commander basically has made it clear like hey look we have hit almost every single target on in our target deck and It's we have more or less done all the effective damage we can do like that Basically like whatever effectiveness there is for the rest of the stuff we can hit isn't going to move the needle that

was basically it came out again like I think the stuff's getting leaked because the military and intelligence committee want want people to know like in the small ways that they're, not necessarily pushing back, but just like, hey, like this is what we're saying. Well, also they don't want to wear it, right? Like just like, hey, we told them it wasn't a good idea or, you know, we told them. Right. I mean, even from, you know, the vice president got leaked in the first week that he was kind of like, I don't think it's a great idea. Yeah, I just, I'm just...

Amazed like I said general Kane same thing like you got leaked in the first week that he did not want to do it you look I You know we've intimated or spoken briefly about this in the past And I hope this isn't the case because I hope this does not result more significantly more casualties and things like that Because if it does I think this could easily go down as one of the biggest international foreign policy blunders that we've ever made not in terms of the cost Speaking moment but in terms of just kind of an own goal like you've entitled it before just meaning you went into something and you're looking and just Hey, what did you guys think you were gonna win man? Like it seems to me like you just picked, you know The analogy I used before was it seems like you just were presented the option of hey you get All you have to do is survive for a round in the ring with one of these two boxers and you make a million bucks, you get an average looking cat and you got Mike Tyson, you're like, you know what, I'll take Mike Tyson. Just in terms of just making it so hard on yourself with nothing additional to win. And that's just what this exercise felt like from the beginning. And now you're five and a half months into it. And I think it's really hard to come to any other conclusion. And on top of that, Trump himself said, and look, I know Trump says a lot of stuff, but This was one of those where I felt like his cabinet probably, you know, because there's there's two kinds of Trump Disinformation type deals that he does, right? Every administration does it again. I'm not saying Trump's a lot, you know But there's two kinds There's where he says the truth that nobody want in his cabinet or nobody in the administration wants him to say Or it's when he says something completely outlandish like a muskism, right? Like to just you know, it's I it's I it's idealistic, it's out there, but it's not really possible. I think this was very much one of those where his administration was like, don't, you shouldn't have said that. When he said we were four weeks out from hitting

tank bottoms, how many weeks have we now? We drew another 7 million barrels of crude. And we didn't pull enough out during the ceasefire to make up for that, right?

Here we are, but yeah, I just, okay. Moving on, I will continue to say this. I think you treat oil as the head of your portfolio and a proxy for long volatility until this is over at some point. And if you hear, you know, when Trump finally capitulates again, I have a hard time seeing him doing that at these oil levels. So, okay, on to the blood. uh, letting that we're still seeing in chips and DRAM. Um, I think you're kind of using micron as a proxy. I haven't looked at DRAM directly, but are you, you got to be pulling in close to the 50% correction range on some of these, aren't you? Yes, but because they, you know, when it's so ridiculously vertical, it still doesn't look significant. You can, you can, yeah, you can make one line on that micron chart and it just broke that thing today.

So you can make the argument in some ways it just broke support. You're still well north of the 200 day moving average. I think these things could keep going. But let me look, because I do want to know. So for the explosive part of this move, you dumped below 50% retrace today on micro. OK. If I was a degenerate trader and this is not investing advice, I'd be tempted to take a shot on the long side here for a bounce on some of those. Mike run now 43% draw down. Okay. That's getting pretty saucy. Man, we've been on the horn here talking while meta earnings came out, so we didn't get a chance to really dig through those. But you were saying off the top, less than expected capex, right? Yeah, more than expected, but not by a lot. So they had that range and they brought the low end of the range up.

a little bit. That was it. But they're down, the stock was down 1.3 during the session and it's down nine and a half after hours. So 10.8% for the day broader, you know, you're basically at the dead lows of when everything puked back in March. So hyperscalers, hyperscalers and chips getting smoked. Yep. Other than, you know, Microsoft has the the the software angle got to go in for it. Some of the cloud guys will do enough cloud business to kind of escape. But yeah, I mean, if you're too tired to the CapEx, you're going to have a bad time. So especially given the financing

side of the CapEx, it's just too much and it's too ugly to plow through this well.

But again, I will say like we're gonna get another rally next time a cool model comes out or whatever But then everyone's gonna go back and start doing the math three months after that and go. Oh, yeah, that's right. That's too much money Don't you get the I look I don't want to speak too far out of school, but don't don't It does this does have the feel that that Something's changing underneath the hood underneath the surface. You know what I mean? There's a yeah Look, again, I'll keep repeating this. I don't think we're in a sky's falling moment. I don't think we're looking on the edge of a precipice of a big crash. But what it does feel to me is that there's things underneath the hood changing. I'm gonna be interested to see what those are. It looks like there's some sobriety working its way back into the market for reasons that I don't understand. I'm not sure if it's the threat of higher oil or whatever the case. I think it's mostly like, if you're gonna print a bunch of shares and a bunch of debt, I think it's that more than anything. I mean, obviously the oil part is great. Well, and if you're combining equity issuance like that with big hits to 3x type stuff, leverage at the same time, it's an environment where it's almost impossible for something to go up, right? There's just too many sellers. Yeah, and we're in negative gamma right now. So like everything's a little more spicy than usual. That could create, Some nasty ball and speaking of all like so this is something I should mention Because all of a sudden the bond market is getting really volatile if you get no kidding bond ball ripping that become that is a very Global liquidity negative thing to have happened that collateral value Yeah, how much money can get pushed out? Yeah, and so like there's a lot of the unfun You know parallel things going on right now obviously get you you we'll get overextended probably the downside at some point. Then you start looking for reasons to start buying a bunch. But like, for the moment, there's just too much bad stuff going on. Yeah, no, I agree. What else do you got, man? I mean, I feel like those are some pretty big ones. I'm not sure what else to say about it. I mean, Fed meeting, I wouldn't call it a mess. I just don't know what I have. It's one of those you throw in the pile of, yeah, I got more questions and answers out of that thing. Yeah.

I'll just go ahead. I don't have anything else. I'll just close with it. I'm just stunned that it seemed like the Fed chair today said he was outsourcing inflation fighting to the bond market. That's just crazy to me. And it's going to be an interesting rest of the week. Going to be interesting next Fed meeting. Well, to your point, if you want to run up debt to 130, 140% debt to GDP, I don't know that letting the bond market sort it out is viable option. It's not. Especially when you're still running five and a half, 6% deficits. I mean, what is the move on the 30-year due to deficit projections over the next couple of years? God forbid you throw an economic slowdown and recession on top of that, even if it's mild.

I'll tell you what, it doesn't make me want to sell gold. Yeah. You know what I mean? Yeah, because gold's like, oh, if you're not the bond market do it, if instead of you, that's probably gonna be good for gold. Yeah. All right, man. You all good? Yep, all set. All right, does it for me as well. As always, guys, you can follow us on social media. I'm at KYR Radio Chase's at Pinecone Macro. You can get the video feed on YouTube. Just search and know your wrist podcast. Have a wonderful evening. We'll see you tomorrow. You're listening to Know Yourself Podcast. Download and subscribe to knowyourselfpodcast.com.